IV B.Tech I Sem

L	T	P	C
3	0	0	3

23A54702 FINANCIAL MATHEMATICS
(Open Elective-IV)

Course Objectives:

1. To provide mathematical foundations for financial modelling, risk assessment and asset pricing.
2. To introduce stochastic models and their applications in pricing derivatives and interest rate modelling.
3. To develop analytical skills for fixed-income securities, credit risk, and investment strategies.
4. To equip students with computational techniques for pricing financial derivatives.

Course Outcomes:

After successful completion of this course, the students should be able to:

COs	Statements	Blooms level
CO1	Explain fundamental financial concepts, including arbitrage, valuation, and risk.	L2 (Understand)
CO2	Apply stochastic models, including Brownian motion and Stochastic Differential Equations (SDEs), in financial contexts.	L3 (Apply)
CO3	Analyze mathematical techniques for pricing options and financial derivatives.	L4 (Analyze)
CO4	Evaluate interest rate models and bond pricing methodologies.	L5 (Evaluate)
CO5	Utilize computational techniques such as Monte Carlo simulations for financial modeling.	L3 (Apply)

Course Articulation Matrix:

	PO1	PO2	PO3	PO4	PO5	PO6	PO7	PO8	PO9	PO10	PO11	PO12
CO1	3	2	-	-	1	-	-	-	-	-	2	1
CO2	3	3	2	2	2	-	-	-	-	-	1	1
CO3	3	3	3	3	2	1	-	-	-	-	3	2
CO4	3	3	3	3	1	-	-	-	-	-	2	1
CO5	3	3	3	3	3	-	-	-	-	-	2	2

• **3** = Strong Mapping, **2** = Moderate Mapping, **1** = Slight Mapping, **-** = No Mapping

UNIT-I: Asset Pricing and Risk Management **(08)**

Fundamental financial concepts: Returns, arbitrage, valuation, and pricing. Asset/Liability management, investment income, capital budgeting, and contingent cash flows. One-period model: Securities, payoffs, and the no-arbitrage principle. Option contracts: Speculation and hedging strategies, CAP Model, Efficient market hypothesis.

UNIT-II: Stochastic Models in Finance **(08)**

Random Walks and Brownian Motion. Introduction to Stochastic Differential Equations (SDEs): Drift and diffusion. Ito calculus: Ito's Lemma, Ito Integral, and Ito Isometry.

UNIT-III: Interest Rate and Credit Modelling **(08)**

Interest rate models and bond markets. Short-rate models: Vasicek, Cox-Ingersoll-Ross (CIR), Hull & White models, Credit risk modelling: Hazard function and hazard rate.

UNIT-IV: Fixed-Income Securities and Bond Pricing **(08)**

Characteristics of fixed-income products: Yield, duration, and convexity. Yield curves, forward rates, and zero-coupon bonds. Stochastic interest rate models and bond pricing PDE. Yield curve fitting and calibration techniques, Mortgage Backed Securities.

UNIT-V: Exotic Options and Computational Finance **(08)**

Stochastic volatility models and the Feynman-Kac theorem.Exotic options: Barriers, Asians, and Look backs. Monte Carlo methods for derivative pricing, Black-Scholes-Merton model: Derivation and applications.

Textbooks:

1. Ales Cerny, *Mathematical Techniques in Finance: Tools for Incomplete Markets*, Princeton University Press.
2. S.R. Pliska, *Introduction to Mathematical Finance: Discrete-Time Models*, Cambridge University Press.

Reference Books:

1. IoannisKaratzas& Steven E. Shreve, *Methods of Mathematical Finance*, Springer, New York.
2. John C. Hull, *Options, Futures, and Other Derivatives*, Pearson.

Web References:

- MIT– Mathematics for Machine Learning https://ocw.mit.edu
- Coursera – Financial Engineering and Risk Management (Columbia University) https://www.coursera.org/
- National Stock Exchange (NSE) India – Financial Derivatives https://www.nseindia.com/